

BEFORE THE FEDERAL MARITIME COMMISSION

DOCKET NO. 25-08

FORMUKLEEN, INC.,

Complainants

v.

TOP SHIPPING SYSTEMS, CORP.,

Respondent.

RESPONDENT'S RESPONSES TO COMPLAINANT'S

PROPOSED FINDINGS OF FACT

Respondent Top Shipping Systems, Corp. ("TSS") responds to Complainant's Proposed Findings of Fact as follows. Any admission is limited to the factual proposition stated and does not admit relevance, legal effect, or that TSS acted as an NVOCC with respect to either subject shipment.

1. FormuKleen, Inc. is the complainant in this proceeding. Entry No. 1, paragraph 1.

Response: Admitted.

2. Top Shipping Systems, Corp. is the respondent in this proceeding. Entry No. 8 at 1.

Response: Admitted.

3. TSS admits that it is licensed by the Federal Maritime Commission as an NVOCC and ocean freight forwarder. Entry No. 8, paragraph 2.

Response: Admitted only that TSS is licensed by the Federal Maritime Commission as an NVOCC and ocean freight forwarder. TSS denies that it acted as an NVOCC with respect to either subject shipment.

4. Container CHSU4047424 is one of the two shipments at issue. Entry No. 8 at 4-5.

Response: Admitted.

5. Container BSIU8431017 is the other shipment at issue. Entry No. 8 at 5-6.

Response: Admitted.

6. Each subject container moved from China to the United States by vessel. Entry No. 40 at 2-3; CX-0159 to CX-0168.

Response: Admitted.

7. TSS admits that it performed customs brokerage, drayage, and warehousing services for the subject shipments. Entry No. 8 at 1, 4.

Response: Admitted.

8. TSS admits that CHSU was pulled from the port and held at its trucking partner's yard until February 25, 2025. Entry No. 8 at 5.

Response: Admitted.

9. TSS admits that CHSU was held because of alleged unpaid account balances. Entry No. 8 at 5.

Response: Admitted that CHSU4047424 was held due to unpaid account balances owed to TSS in connection with TSS's post-arrival services in the United States as a customs house broker and provider of drayage and warehousing services.

10. TSS admits that it paid port-storage charges for BSIU. Entry No. 8 at 6.

Response: Admitted that TSS paid or advanced port-storage charges on FormuKleen's behalf in its capacity as a customs house broker.

11. TSS admits that it transferred BSIU to its warehouse. Entry No. 8 at 6.

Response: Admitted.

12. TSS admits that it prescribed conditions for FormuKleen to retrieve the BSIU goods. Entry No. 8 at 6.

Response: Admitted in part. Release of the BSIU goods was affected by FormuKleen's credit suspension and outstanding account balance.

13. TSS admits that BSIU was redirected to its warehouse because of alleged nonpayment. Entry No. 8 at 3-4.

Response: Admitted that BSIU8431017 was brought to TSS's warehouse in connection with the suspension of FormuKleen's credit.

14. TSS admits that it exercised control over the post-port movement and release of both subject containers. Entry No. 31 at 4-6; Entry No. 32 at 1-7.

Response: Admitted in part. TSS coordinated the post-port movement and release of the subject containers in connection with its post-arrival services as a customs house broker and provider of drayage and warehousing services. TSS denies that it exercised such authority in an NVOCC capacity.

15. TSS admits that it withheld delivery to secure obligations related and unrelated to the subject shipments. Entry No. 31 at 4-5.

Response: Admitted in part. Release was conditioned on resolution of FormuKleen's outstanding account balances obligations related to aging to warehousing and post arrival services.

16. TSS does not dispute that release was contingent on payment of invoices for unrelated shipments. Entry No. 31 at 5.

Response: Admitted in part. Release was conditioned on resolution of FormuKleen's outstanding account balances obligations related to aging to warehousing and post arrival services.

17. TSS describes the post-arrival transportation and storage as arranged by TSS. Entry No. 31 at 6.

Response: Admitted only that TSS coordinated local post-arrival transportation and storage.

18. TSS admits that the trucker pulled CHSU pursuant to TSS's instructions. Entry No. 32 at 1-3.

Response: Admitted that the trucker pulled CHSU4047424 pursuant to TSS's local pickup instructions in connection with TSS-coordinated local drayage.

19. TSS admits that BSIU was brought to TSS's warehouse. Entry No. 32 at 3.

Response: Admitted.

20. TSS admits that BSIU was released only after further account payments. Entry No. 32 at 5-7.

Response: Admitted in part. BSIU8431017 was released after additional account payments. TSS denies the implication that payment of the outstanding account balance was a condition of release, as BSIU8431017 was released while FormuKleen continued to owe an outstanding balance to TSS.

21. TSS identifies itself as the coordinator of drayage or local cartage from the port. Entry No. 33, paragraph 1.

Response: Admitted.

22. TSS asserted a lien over goods in its possession, custody, or control for charges under other invoices. Entry No. 33, paragraph 8.

Response: Denied as stated. TSS maintained lien rights under Florida Statute § 677.209(1) in connection with its warehousing and post-arrival services.

23. TSS participated in approximately fifty-four FormuKleen shipments. Entry No. 86 at 2.

Response: Admitted in part. TSS objects to the characterization as stated. TSS acted as a destination agent for approximately seven shipments; for the remaining shipments, TSS's role was limited to acting as a notify party, customs house broker, and drayage provider.

24. TSS describes its historical roles as including notify party, customs broker, drayage coordinator, warehouse provider, cargo-release agent, storage provider, and destination agent.

Entry No. 86 at 2.

Response: Admitted.

25. At the March 19, 2026 status conference, TSS stated that it was not denying that it is an NVOCC. CX-0116.

Response: Admitted in part. TSS does not deny that it is a licensed NVOCC, but denies that it acted as an NVOCC with respect to the two subject shipments.

26. At the March 19, 2026 status conference, TSS admitted performing customs brokerage and drayage for the subject shipments. CX-0116.

Response: Admitted.

27. At the June 4, 2026 status conference, TSS admitted that it facilitated trucking for the subject containers. CX-0119 to CX-0121.

Response: Admitted that TSS facilitated local trucking in the United States for the subject containers.

28. At the June 4, 2026 status conference, TSS admitted that it had the containers pulled to another warehouse. CX-0119 to CX-0121.

Response: Admitted that TSS had the subject containers pulled to a local yard or warehouse after port release. TSS denies that this establishes NVOCC status.

29. Eddy Del Monte was TSS's import coordinator assigned to FormuKleen. CX-0125.

Response: Admitted only that Eddy Del Monte was assigned to FormuKleen in connection with TSS's customs brokerage and local drayage services.

30. Del Monte had authority to give truckers pickup authority. CX-0125.

Response: Admitted only as to Del Monte's authority to provide local truckers with pickup instructions on TSS-coordinated drayage as a customs broker and local drayage provider.

31. Del Monte had authority to give truckers delivery instructions. CX-0125.

Response: Admitted only as to Del Monte's authority to provide local delivery instructions on TSS-coordinated drayage as customs broker and drayage provider.

32. Del Monte had authority to identify or change a delivery destination. CX-0125.

Response: Admitted in part. Del Monte could identify and communicate local delivery destinations in connection with TSS-coordinated local drayage. Final decisions regarding any change to the local delivery destination were made by TSS management. TSS denies that Del Monte or TSS had authority over the ocean transportation for the two subject shipments.

33. TSS generated the delivery orders used for the subject containers. CX-0127.

Response: Admitted that TSS generated the delivery orders used for the subject containers in connection with TSS-coordinated local drayage.

34. Del Monte testified that TSS created the operative delivery instructions and told the truckers where to go. CX-0128 to CX-0129.

Response: Admitted only that TSS generated and communicated local delivery instructions to the truckers in connection with TSS-coordinated local drayage.

35. Del Monte testified that the trucker relied on TSS for accurate delivery information. CX-0129.

Response: Admitted only as to the trucker's reliance on TSS for local pickup and delivery information.

36. Del Monte testified that every delivery instruction was sent to the trucker by email. CX-0132.

Response: Admitted that Del Monte testified that local delivery instructions to truckers were sent by email.

37. Del Monte gave the pickup authority for BSIU. CX-0133 to CX-0134.

Response: Admitted only as to local drayage pickup authority for BSIU8431017.

38. Del Monte sent the delivery order for BSIU. CX-0133 to CX-0134.

Response: Admitted that Del Monte sent the local drayage delivery order for BSIU8431017.

39. The trucker followed Del Monte's delivery instructions for BSIU. CX-0134.

Response: Admitted that the trucker followed TSS's local drayage delivery instructions for BSIU8431017.

40. TSS paid charges on FormuKleen's behalf and then invoiced FormuKleen. CX-0126.

Response: Admitted that TSS paid or advanced certain charges on FormuKleen's behalf and invoiced FormuKleen in connection with its customs brokerage and post-arrival services in the United States.

41. Del Monte communicated with DHY, Dolphin Logistics, SeaBlue, and TSS's warehouse concerning the subject containers. CX-0135 to CX-0138.

Response: Admitted in part. Del Monte communicated with those parties in connection with TSS's customs brokerage functions, including obtaining arrival and availability information necessary for post-arrival clearance and local delivery.

42. Dolphin supplied TSS with arrival, charge, availability, and shipment information. CX-0136 to CX-0137.

Response: Admitted. Dolphin, as Topsealand's U.S. agent, supplied TSS with arrival, charge, availability, and shipment information for TSS's post-arrival customs brokerage functions and local delivery coordination.

43. TSS placed both subject containers on hold. CX-0139 to CX-0140.

Response: Admitted in part. TSS suspended FormuKleen's credit and services due to outstanding account balances. TSS denies Complainant's characterization that TSS "placed" the subject containers "on hold."

44. TSS management made the decisions to place the subject containers on hold. CX-0139 to CX-0140.

Response: Admitted only that TSS management made the decision to suspend FormuKleen's credit and services due to its outstanding account balance.

45. TSS's corporate representative testified that TSS performed customs brokerage, local trucking, and warehousing for each subject shipment. CX-0147.

Response: Denied as overly broad. TSS performed customs brokerage, local trucking coordination, and warehousing services in connection with the subject shipments.

46. TSS's corporate representative testified that TSS filed the ISF, cleared the shipments, removed the containers from the port, placed them into storage, and ultimately delivered them. CX-0148.

Response: Admitted. As a customs broker, TSS filed the ISF, performed customs clearance, and coordinated the post-arrival local drayage services of the two subject containers.

47. TSS contacted DHY and Dolphin to obtain release information for local pickup. CX-0152.

Response: Admitted.

48. TSS coordinated the local pickup after obtaining release information. CX-0152.

Response: Admitted TSS coordinated local pickup after receiving the applicable release information from destination agent.

49. TSS directed where the trucker delivered CHSU. CX-0154 to CX-0155.

Response: Admitted only that TSS provided the local trucker with delivery instructions for CHSU4047424.

50. TSS directed where the trucker delivered BSIU. CX-0156 to CX-0157.

Response: Admitted only that TSS provided the local trucker with delivery instructions for BSIU8431017.

51. TSS provided delivery instructions or delivery orders to the truckers for both subject containers. CX-0154 to CX-0157.

Response: Admitted only as to local delivery instructions or delivery orders provided to truckers.

52. CHSU was pulled from the port pursuant to TSS's instructions and held at TSS's trucking partner's yard pending resolution of the payment dispute. CX-0149, CX-0151; Entry No. 32 at 1-3.

Response: Admitted in part. CHSU4047424 was pulled from the port pursuant to TSS's local pickup instructions and held at the trucking provider's yard while FormuKleen's credit and services were suspended. The suspension was an account and credit measure and did not reflect TSS acting as the carrier, NVOCC, or owner of the cargo.

53. TSS did not authorize removal of CHSU from the trucker's yard until the account issue was resolved. CX-0150.

Response: Admitted that TSS did not authorize further local delivery of CHSU4047424 while FormuKleen's credit and services were suspended.

54. TSS placed BSIU in its warehouse. CX-0153.

Response: Admitted.

55. TSS inventoried the BSIU goods. CX-0153.

Response: Admitted.

56. TSS restricted release of the BSIU goods pending payment. CX-0153.

Response: Admitted in part. TSS denies the characterization that release was restricted "pending payment." BSIU8431017 was released while FormuKleen still had an outstanding balance with TSS.

57. Ricky Villena participated in the decision not to release cargo until the account dispute was resolved. CX-0142 to CX-0143, CX-0146 to CX-0147.

Response: Admitted that Ricky Villena participated in the decision concerning release during the suspension of FormuKleen's credit and services. Otherwise denied.

58. Before CHSU arrived, TSS management instructed that the FormuKleen account and arriving container were on hold. CX-0170.

Response: Admitted in part. TSS management suspended FormuKleen's credit and post-arrival services. Otherwise denied.

59. TSS's internal instruction stated that orders would not be released until further payments were received. CX-0170.

Response: Admitted only that the cited internal communication contains the referenced statement.

60. TSS informed FormuKleen that BSIU had been directed to TSS's warehouse. CX-0165.

Response: Admitted only that TSS informed FormuKleen that BSIU8431017 had been brought to TSS's warehouse.

61. TSS informed FormuKleen that the BSIU goods would be released only when the account was current. CX-0165.

Response: Admitted in part that TSS made this statement in the cited communication.

62. TSS subsequently revoked FormuKleen's credit and suspended its services. CX-0172 to CX-0173.

Response: Admitted.

63. TSS subsequently stopped advancing duties for FormuKleen. CX-0172 to CX-0173.

Response: Admitted.

64. TSS's invoice for CHSU was not due when TSS imposed the CHSU hold. CX-0183.

Response: Admitted that the CHSU4047424 invoice identified by Complainant was not yet due when TSS suspended FormuKleen's credit and services.

65. TSS released CHSU before TSS's invoice for that shipment became due. CX-0183; Entry No. 8 at 5.

Response: Admitted that CHSU4047424 was released before TSS's invoice for that shipment became due.

66. TSS's invoice for BSIU was not due when TSS placed BSIU in its warehouse and conditioned release on the account. CX-0165, CX-0184.

Response: Admitted only that the BSIU8431017 invoice was not yet due when the goods were placed in TSS's warehouse. Otherwise denied.

67. TSS's CHSU delivery order identifies the pickup location and directs delivery to FormuKleen's designated destination. CX-0175.

Response: Admitted.

68. Thunder Container Transport's document for CHSU identifies Top Shipping as consignee. CX-0176.

Response: Admitted only that the Thunder Container Transport document identifies Top Shipping as consignee for purposes of the local delivery. TSS denies that this designation establishes that TSS acted as the NVOCC for CHSU4047424.

69. TSS's BSIU delivery order identifies the pickup location and directs the container movement. CX-0178.

Response: Admitted in part. TSS denies Complainant's characterization of CX-0178.

70. SeaBlue's document for the port pickup of BSIU identifies Top Shipping as consignee. CX-0179.

Response: Admitted only that the SeaBlue document identifies Top Shipping as consignee. TSS denies that the designation establishes NVOCC status for BSIU8431017.

71. Thunder's first subsequent document for BSIU identifies Top Shipping as consignor. CX-0180.

Response: Admitted only that the identified Thunder document lists Top Shipping as consignor for purposes of local delivery.

72. Thunder's second subsequent document for BSIU identifies Top Shipping as consignor. CX-0181.

Response: Admitted only that the identified Thunder document lists Top Shipping as consignor for purposes of local delivery.

73. The BSIU carrier documents place TSS first in the consignee position and later in the consignor position for the same container. CX-0179 to CX-0181.

Response: Admitted only that the cited local carrier documents use the identified consignee and consignor designations. TSS denies that those designations establish NVOCC status.

74. Before CHSU arrived, TSS communicated with FormuKleen's supplier in China concerning ISF information, vessel status, telex release, availability, and delivery. CX-0159 to CX-0161.

Response: Admitted in part. TSS communicated with FormuKleen's supplier regarding information necessary to perform customs house brokerage functions, including ISF filing, customs clearance, and post-arrival delivery. TSS denies that it booked the ocean transportation or assumed common-carrier responsibility for CHSU4047424.

75. Before BSIU was picked up, TSS monitored the freight release, vessel arrival, and last free day. CX-0163 to CX-0168.

Response: Admitted in part. TSS denies Complainant's characterization. TSS monitored release, arrival, and last-free-day information in connection with its post-arrival services as a customs house broker and local drayage provider.

76. TSS Tariff No. 022839-001 identifies TSS as an FMC-licensed NVOCC and calls TSS the carrier. CX-0186.

Response: Admitted in part that TSS maintains an FMC tariff identifying TSS as an NVOCC. TSS denies that the tariff establishes that TSS acted as an NVOCC with respect to the two subject shipments.

77. TSS's tariff offers service between the United States and foreign ports and points. CX-0186 to CX-0187.

Response: Admitted in part that TSS's tariff offers service between U.S. and foreign ports and points. TSS denies that this establishes that the tariff or an NRA governed either of the two subject shipments.

78. TSS's tariff offers through intermodal service by motor and rail. CX-0187 to CX-0188.

Response: Admitted in part that TSS's tariff offers through intermodal service. TSS denies that this establishes that TSS provided such service for either of the two subject shipments.

79. TSS's tariff offers door service to a consignee's designated facility. CX-0188 to CX-0189.

Response: Admitted in part that TSS's tariff provides for door service. TSS denies that this establishes that TSS provided such service in an NVOCC capacity for either of the two subject shipments.

80. TSS's tariff authorizes TSS to arrange inland transportation and select motor carriers. CX-0187 to CX-0189.

Response: Admitted in part that TSS's tariff authorizes the identified services. TSS denies that the local drayage services performed for the subject shipments were provided in an NVOCC capacity.

81. Rule 2 of TSS's tariff defines an NVOCC NRA as a written and binding arrangement to provide specific transportation service "from origin to destination on and after receipt of the cargo by the Carrier or its agent." CX-0186 to CX-0189; TSS Tariff No. 022839-001, Rule 2.

Response: Admitted in part that the cited tariff contains the quoted general definition. TSS denies that any NVOCC NRA governed either of the two subject shipments.

82. Rule 2 further states that the Carrier's or Carrier's agent's receipt of cargo for the shipment constitutes final acceptance of the NRA offer and binds the parties. CX-0186 to CX-0189; TSS Tariff No. 022839-001, Rule 2.

Response: Admitted in part that the cited tariff contains the stated provision. TSS denies that Complainant has established an NRA governing either of the two subject shipments.

83. TSS's current website advertises freight forwarding across ocean and ground transportation. CX-0191.

Response: Admitted in part that TSS's current website contains general descriptions of freight-forwarding services. TSS denies that current website language establishes the capacity in which TSS acted with respect to the two subject shipments.

84. TSS's current website advertises end-to-end service from pickup to final delivery. CX-0191.

Response: Admitted in part that TSS's current website advertises end-to-end services. TSS denies that current website language establishes TSS's capacity on the two subject shipments.

85. TSS's current website advertises ocean transportation and coordination with global ports. CX- 0192.

Response: Admitted in part only that TSS's current website advertises ocean transportation services. TSS denies that current website language establishes TSS's capacity on the two subject shipments.

86. TSS's current website advertises port drayage, container movement, and delivery from ports to final destination. CX-0193.

Response: Admitted in part that TSS's current website advertises port drayage and delivery services. TSS denies that this establishes that TSS acted as an NVOCC with respect to the two subject shipment.

87. Entry No. 63 ordered TSS to produce documents responsive to Requests for Production Nos. 4 and 7. Entry No. 63 at 10-13.

Response: Admitted.

88. Entry No. 63 ordered TSS to answer Interrogatory No. 1. Entry No. 63 at 10-13.

Response: Admitted.

89. Entry No. 90 ordered TSS to produce all third-party communications concerning the two subject containers. Entry No. 90 at 2-3.

Response: Admitted.

90. The production contains delivery orders and carrier documents without the complete emails transmitting those documents. CX-0175 to CX-0181; Entry Nos. 80, 81.

Response: Denied to the extent this proposed finding implies discovery noncompliance. Respondent's position concerning its production is set forth in its filings and the record.

91. Del Monte testified that delivery instructions were transmitted by email. CX-0132.

Response: Admitted in part. Del Monte testified that delivery instructions were transmitted by email and that he also communicated with the trucker by occasional follow-up phone calls.

92. Villena testified that changes to shipment instructions and delivery orders were normally handled by email. CX-0144 to CX-0145.

Response: Admitted in part. Villena did not dispute that changes to delivery instructions and delivery orders were normally handled by email. TSS denies Complainant's characterization of his testimony regarding "shipment instructions."

93. The Presiding Officer observed that TSS's admitted trucking and redirection meant that at least some communications had to exist. CX-0120 to CX-0121.

Response: Admitted only that the Presiding Officer made the referenced observation. TSS denies any inference that the observation establishes discovery noncompliance or NVOCC status.

94. TSS acknowledged communications with truckers and offered an additional targeted search for responsive material. CX-0122.

Response: Admitted that TSS acknowledged communications with truckers and offered an additional targeted search.

95. FormuKleen filed this FMC proceeding on June 9, 2025. Complaint; Notice of Filing and Assignment.

Response: Admitted.

96. The Commission served the Complaint on June 17, 2025. Notice of Filing and Assignment.

Response: Admitted.

97. TSS filed its Verified Answer on July 8, 2025. Entry No. 8.

Response: Admitted.

98. TSS admits that BSIU remained at its warehouse until June 25, 2025 and was released only after further account payments. Entry No. 8 at 6; Entry No. 32 at 3, 5-7.

Response: Admitted in part. BSIU8431017 remained at TSS's warehouse until June 25, 2025 and was released after additional account payments during the suspension of FormuKleen's credit and services.

99. Sworn declarations concerning the July 10, 2025 retrieval of remaining goods state that Ricky Villena asked whether FormuKleen's principal was "looking for trouble" and stated that the remaining goods were scheduled for destruction. Entry No. 10 at 1-2; Entry No. 12, Exs. A-B.

Response: Admitted only that the cited declarations contain those allegations. TSS denies the allegations and any characterization of them as established facts.

100. CHSU was unavailable to FormuKleen until February 25, 2025. Entry No. 8 at 5.

Response: Admitted in part. CHSU4047424 was not delivered to FormuKleen until February 25, 2025. TSS denies that the cargo was "unavailable" to FormuKleen as characterized; delivery remained subject to resolution of FormuKleen's credit and service suspension.

101. BSIU remained unavailable to FormuKleen from its placement in TSS's warehouse until June 25, 2025. Entry No. 8 at 6; Entry No. 32 at 5-7.

Response: Admitted in part. BSIU8431017 remained at TSS's warehouse until June 25, 2025. TSS denies that the cargo was "unavailable" to FormuKleen as characterized; release remained subject to resolution of FormuKleen's credit and service suspension.

102. FormuKleen paid a \$695.00 CBP penalty on June 25, 2025. CX-0306.

Response: Admitted in part that FormuKleen paid a \$695.00 CBP penalty as reflected in the cited exhibit. TSS denies that the penalty was caused by any act or omission of TSS.

103. During the period BSIU remained unavailable, a customer responded to FormuKleen's request for another order by stating that he could no longer order and could only try to direct business to FormuKleen at his next job. CX-0307.

Response: Denied as overly broad. The cited communication does not establish the context or cause of the customer's statement, nor does it establish that any alleged loss was attributable to TSS.

104. FormuKleen's damages evidence establishes \$57,734.17 in direct actual injury attributable to the challenged cargo holds. Complainant's Schedule of Actual Injury; CX-0183 to CX-0184; CX-0208 to CX-0273; CX-0295 to CX-0298; CX-0306.

Response: Denied. Complainant has not established that the claimed \$57,734.17 constitutes recoverable actual injury caused by unlawful conduct of TSS.

105. FormuKleen's damages evidence establishes \$83,092.97 in lost profit attributable to the challenged cargo holds. Complainant's Schedule of Actual Injury; CX-0299.

Response: Denied. Complainant has not established that the claimed \$83,092.97 in lost profit was caused by unlawful conduct of TSS or is recoverable.

106. FormuKleen's total claimed actual injury is \$140,827.14. Complainant's Schedule of Actual Injury; CX-0183 to CX-0184; CX-0208 to CX-0273; CX-0295 to CX-0299; CX-0306.

Response: Denied. Respondent denies that Complainant sustained \$140,827.14 in recoverable actual injury caused by any Shipping Act violation by TSS.

Respectfully Submitted,
TOP SHIPPING SYSTEMS CORP
Ricky Villena
Vice President, pro se

CERTIFICATE OF SERVICE

I hereby certify that on September 10th, 2026, I have served the foregoing to all parties of record in this proceeding via electronic mail.

By:

TOP SHIPPING SYSTEMS CORP

Ricky Villena

Vice President, pro se